GOVERNMENT OF INDIA

Ministry of Textiles

Weaving India's Legacy with Innovation

Confidential and Proprietory
August 2026

SHRI NARENDRA MODI

HONORABLE PRIME MINISTER, INDIA



MESSAGE

Copyright CCI India I www.cciindia.org I 13 Institutional Area, Lodhi Road, New Delhi 110003

SHRI GIRIRAJ SINGH

HONORABLE MINISTER,
MINISTRY OF TEXTILES



MESSAGE

Copyright CCI India I www.cciindia.org I 13 Institutional Area, Lodhi Road, New Delhi 110003

SHRI MUNINDRA KUMAR

DIRECTOR GENERAL, CHAMBER OF COMMERCE AND INDUSTRIES OF INDIA



MESSAGE

India's textile and apparel sector represents one of the country's oldest and most dynamic industries, contributing significantly to employment, exports, entrepreneurship, traditional craftsmanship, and industrial growth. The Ministry of Textiles plays a transformative role in strengthening the sector through policy support, technological modernization, infrastructure development, sustainability initiatives, and global market integration.

The Chamber of Commerce and Industries of India (CCI India) recognizes the immense potential of India's textile ecosystem in driving manufacturing excellence, rural livelihoods, innovation, exports, and economic growth. Through policy advocacy, investment promotion, industry partnerships, technology adoption, startup facilitation, skill development, and market linkages, CCI India remains committed to supporting the Ministry's vision of creating a globally competitive, sustainable, and innovation-driven textile industry.

This Knowledge Paper presents comprehensive insights into the Ministry's strategic priorities, policy initiatives, flagship programmes, investment landscape, and emerging opportunities across technical textiles, sustainable manufacturing, textile parks, fashion innovation, digital supply chains, exports, circular economy practices, and artisan empowerment. It also highlights collaborative pathways that can strengthen India's leadership in the global textile value chain.

The publication serves as a strategic resource for policymakers, textile manufacturers, exporters, investors, entrepreneurs, designers, research institutions, technology providers, financial organizations, and development agencies seeking to contribute to India's textile transformation. Through collaborative engagement and innovation, it aims to strengthen competitiveness, generate employment, encourage investment, and promote sustainable industrial development.

As India continues to strengthen its position as a leading global textile hub, partnerships between government, industry, academia, and innovators will remain essential. CCI India looks forward to partnering with the Ministry of Textiles in advancing innovation, sustainability, and long-term sectoral growth.

Munindra Kumar
Director General
CCI India

Copyright CCI India I www.cciindia.org I 13 Institutional Area, Lodhi Road, New Delhi 110003

Preface

The Ministry of Textiles governs one of India's oldest, largest, and most socially embedded industries, a sector that directly employs over 45 million people, accounts for approximately 12 percent of India's total export earnings, and represents the economic backbone of hundreds of artisan communities, weaving clusters, and manufacturing towns across the country. From handloom weavers in Varanasi and Pochampally to technical textile manufacturers in Ahmedabad and Surat, the textiles sector spans the full continuum of India's economic and social diversity.

In the context of Viksit Bharat 2047, the ambition to build India into a USD 5 trillion and eventually a USD 30 trillion economy rests, in part, on the capacity to scale its manufacturing base. Textiles is one of the sectors identified as capable of delivering double-digit export growth, generating large-scale employment in rural and semi-urban areas, and competing globally as a manufacturing destination of choice. The government's PM MITRA (PM Mega Integrated Textile Region and Apparel) initiative, the Production Linked Incentive scheme for textiles, and the sustained focus on technical textiles and man-made fibre development reflect the strategic priority accorded to this sector.

This Knowledge Paper has been prepared by the Chamber of Commerce and Industry of India (CCI India) as a rigorous, evidence-based strategic advisory document. It analyses the Ministry of Textiles' mandate, institutional landscape, programme architecture, and emerging priorities, and presents a structured framework for CCI India's engagement as a strategic implementation partner, policy facilitator, investment promotion partner, and ecosystem builder.

CCI India brings to this engagement a pan-India industry network, policy advocacy experience at the highest levels of government, startup and innovation ecosystem access, investment facilitation capability, and deep expertise in manufacturing sector development. This paper is designed to serve as a credible, publication-ready document suitable for presentation to Union Ministers, Secretaries to the Government of India, NITI Aayog, senior bureaucrats, industry leaders, investors, development agencies, and international institutions.

We present this document with the conviction that the partnership between CCI India and the Ministry of Textiles can accelerate India's journey to becoming the world's most competitive, inclusive, and innovative textiles nation.

Chamber of Commerce and Industry (CCI India)

Copyright CCI India I www.cciindia.org I 13 Institutional Area, Lodhi Road, New Delhi 110003

TABLE OF CONTENT

SHRI NARENDRA MODI **2**

HONORABLE PRIME MINISTER, INDIA *2*

SHRI GIRIRAJ SINGH **3**

HONORABLE MINISTER,MINISTRY OF TEXTILES *3*

SHRI MUNINDRA KUMAR **4**

DIRECTOR GENERAL, CHAMBER OF COMMERCE AND INDUSTRIES OF INDIA *4*

PREFACE **5**

ABOUT CCI INDIA **8**

1: INTRODUCTION TO THE MINISTRY OF TEXTILES **9**

1.1 Constitutional Mandate and Governance Role 9
1.2 Institutional Evolution and National Significance 9

2: HISTORICAL TIMELINE OF THE MINISTRY OF TEXTILES **10**

2.1 Milestones and Policy Transformation 10
2.2 Timeline Analysis 11

3: MINISTRY OVERVIEW AND ORGANISATIONAL STRUCTURE **11**

3.1 Departmental and Institutional Architecture 11
3.2 Structural Analysis and Institutional Gaps 12

4: STRATEGIC IMPORTANCE OF THE MINISTRY OF TEXTILES **12**

4.1 Economic Contribution 12
4.2 Employment and Social Contribution 13
4.3 Global Significance and Competitive Context 13

5: TEXTILES SECTOR LANDSCAPE IN INDIA **14**

5.1 Market Architecture and Value Chain Structure 14

6: MINISTRY PROGRESS REVIEW (2020-2026) **15**

6.1 Budget Evolution 15
6.2 Budget Analysis 16
6.3 Key Performance Indicators 16

7: CURRENT LANDSCAPE ANALYSIS **17**

7.1 Major Achievements (2020-2026) 17
7.2 Existing Challenges 18
7.3 Global Trends and Benchmarking 18

8: STRATEGIC NEED FOR CCI INDIA COLLABORATION **19**

8.1 Ecosystem Gaps Requiring Structured Industry Engagement 19

9: GAP ANALYSIS FRAMEWORK **20**

9.1 Structured Gap Assessment 20
9.2 Gap Analysis Interpretation 21

Copyright CCI India I www.cciindia.org I 13 Institutional Area, Lodhi Road, New Delhi 110003

10: OPPORTUNITY ASSESSMENT MATRIX 22

10.1 Matrix Interpretation 22

11: STARTUP AND INNOVATION ECOSYSTEM ANALYSIS 23

11.1 India's Textiles Startup Landscape 23
11.2 Innovation Ecosystem Infrastructure 24

12: STRATEGIC ROLE OF CCI INDIA 25

12.1 Positioning as a Multi-Dimensional Institutional Catalyst 25

13: PROPOSED COLLABORATION FRAMEWORK 26

13.1 Three-Tier Governance Architecture 26
13.2 Key Collaboration Domains and Structures 27

14: PROPOSED FLAGSHIP PROGRAMMES FOR CCI INDIA 27

15: INVESTMENT AND FUNDING FRAMEWORK 32

15.1 Multi-Source Funding Architecture for Textiles Sector Development 32
15.2 Investment Priority Areas 33

16: STATE-WISE ENGAGEMENT PRIORITY MATRIX 34

16.1 Geographic Prioritisation Framework 34
16.2 Geographic Prioritisation Analysis 35

17: EXPECTED IMPACT ASSESSMENT 35

17.1 Five-Year Impact Projections (2026-2031) 35
17.2 Impact Interpretation 36

18: FIVE-YEAR STRATEGIC ROADMAP (2026-2031) 37

18.1 Roadmap Implementation Analysis 38

19: WHY CCI INDIA IS THE IDEAL STRATEGIC PARTNER 38

19.1 Institutional Strengths and Differentiated Capabilities 38

20: STRATEGIC ACTION AGENDA AND POLICY RECOMMENDATIONS 39

20.1 Immediate Priorities (Year 1: 2026-27) 39
20.2 Medium-Term Priorities (Years 2-3: 2027-29) 40
20.3 Long-Term Priorities (Years 4-5: 2029-31) 41

CONCLUSION 43

Copyright CCI India I www.cciindia.org I 13 Institutional Area, Lodhi Road, New Delhi 110003

About CCI India

CCI India (The Chamber of Commerce and Industry of India) is a premier national business chamber dedicated to fostering economic growth, industry development, entrepreneurship, innovation, and investment promotion across India. As the voice of Indian business and industry, CCI India serves as a bridge between government, industry, startups, academia, investors, and civil society, facilitating meaningful collaboration for nation-building and sustainable development.

Through policy advocacy, business facilitation, research, stakeholder engagement, capacity building, and strategic partnerships, CCI India works to create an enabling environment for enterprises of all sizes. The Chamber actively supports key national initiatives such as Startup India, Make in India, Digital India, Atmanirbhar Bharat, Skill India, and Viksit Bharat 2047 by connecting innovative enterprises with government opportunities and promoting inclusive economic development.

CCI India operates through sector-specific councils, industry forums, knowledge platforms, and state-level engagements that address emerging opportunities and challenges across sectors including manufacturing, agriculture, technology, healthcare, education, infrastructure, sustainability, MSMEs, and startups. The Chamber regularly organizes policy dialogues, investment summits, business delegations, workshops, conferences, and knowledge-sharing initiatives to strengthen India's economic ecosystem.

With a strong commitment to innovation, entrepreneurship, and public-private collaboration, CCI India strives to empower enterprises, facilitate investment, enhance competitiveness, and contribute to India's journey toward becoming a globally competitive and economically resilient nation. Its role as a knowledge partner and industry catalyst enables ministries, departments, state governments, startups, and businesses to collaborate effectively in achieving national development objectives.

Copyright CCI India I www.cciindia.org I 13 Institutional Area, Lodhi Road, New Delhi 110003

1: Introduction to the Ministry of Textiles

1.1 Constitutional Mandate and Governance Role

The Ministry of Textiles derives its authority from the Seventh Schedule of the Constitution of India, where textiles manufacturing, production regulation, and trade standards fall under the Union List and Concurrent List, granting the central government broad authority to legislate, regulate, and administer across the textiles value chain. The Ministry exercises policy jurisdiction over the full spectrum of the sector, from raw material production (natural fibres including cotton, jute, silk, and wool) to spinning, weaving, processing, technical textiles manufacturing, apparel production, handicrafts, and handloom development.

At the constitutional level, Article 43 of the Directive Principles of State Policy specifically directs the state to secure work at living wages for cottage industries, a provision that finds its most direct institutional expression in the Ministry's programmes for handloom weavers, artisans, and small-scale textile manufacturers. This constitutional embedding makes the Ministry's social mandate legally as well as morally significant, distinguishing it from purely commercial regulatory bodies.

1.2 Institutional Evolution and National Significance

The Ministry of Textiles was established in its current form in 1985, consolidating the administration of textiles, handicrafts, handlooms, and sericulture under a single institutional umbrella. In the pre-independence era, textile policy was embedded within broader trade and commerce administration. Post-independence, the 1948 Industrial Policy Resolution recognised textiles as a priority sector for planned development, and successive five-year plans directed significant public investment into textile mill development, handloom cluster formation, and raw material supply chains.

The Ministry's national significance extends well beyond its economic metrics. Textiles is the second-largest employment generator in India after agriculture, employing over 45 million people directly and an estimated 100 million indirectly when including upstream cotton farming, dyeing and processing, retail distribution, and export logistics. The sector's deep geographic distribution, with significant activity in states including Gujarat, Maharashtra, Tamil Nadu, Telangana, Andhra Pradesh, Uttar Pradesh, West Bengal, and Rajasthan, means that its performance has direct implications for regional economic development, rural employment, and social stability across some of India's most populous states.

The Ministry's contemporary mandate has expanded significantly beyond traditional textiles to encompass the fast-growing technical textiles segment, which produces industrial fabrics, geotextiles, medical textiles, agrotextiles, and protective wear. This diversification reflects the Ministry's recognition that India's competitive positioning in global textiles must evolve from labour-cost arbitrage to value-added manufacturing, specialised product development, and technology-driven production excellence.

Copyright CCI India I www.cciindia.org I 13 Institutional Area, Lodhi Road, New Delhi 110003

2: Historical Timeline of the Ministry of Textiles

2.1 Milestones and Policy Transformation

The evolution of India's textiles policy reflects the broader shifts in the country's economic philosophy, from state-led industrial planning to market-oriented liberalisation, and more recently to strategic industrial policy that combines targeted government intervention with private sector-led growth. Each phase has left a distinct institutional imprint on the Ministry's structure and programmes.

Year	Milestone	Strategic Significance
1948	Industrial Policy Resolution	Textiles declared a priority sector; seeds of planned public investment in cotton and handloom development.
1958	Handloom Board Established	Office of the Development Commissioner for Handlooms created, institutionalising the government's responsibility for 6+ million handloom weavers.
1976	Handicrafts Export Corporation	Government channel for handicraft exports created, reflecting the dual commercial and cultural mandate of traditional textiles.
1985	Ministry of Textiles Constituted	Unified ministry created consolidating handlooms, handicrafts, sericulture, wool, jute, and man-made fibres under single administrative control.
1991	Liberalisation Impact	Textile quotas and licensing progressively dismantled; sector exposed to global competition, triggering a decade of restructuring and modernisation.
2000	Technology Upgradation Fund	TUFS launched to provide interest subsidy for technology modernisation in textiles, marking India's first structured industrial financing scheme for the sector.
2005	National Textile Policy	Comprehensive policy targeting USD 85 billion production and USD 50 billion exports by 2010; established integrated value chain development as the governing framework.
2010	Scheme for Integrated Textile Parks	SITP launched to create world-class infrastructure for textiles clusters, enabling SMEs to access common facilities and compete internationally.
2016	National Handloom Development Programme	Restructured handloom scheme integrating weaver welfare, skill development, market access, and product diversification under a single umbrella.
2021	PLI Scheme for Textiles	Production Linked Incentive scheme of INR 10,683 crore approved for MMF apparel, MMF fabrics, and 10 specified technical textiles products, signalling India's strategic shift to high-value textiles.
2022	PM MITRA Launch	PM Mega Integrated Textile Region and Apparel parks announced in 7 states; landmark PPP-based integrated textile park model combining plug-and-play infrastructure, worker hostels, and research facilities.
2023-26	Technical Textiles Mission	National Technical Textiles Mission (NTTM) expanded with fresh funding; focus on R&D, standards development, market creation, and export promotion for 12 technical textile categories.

Copyright CCI India I www.cciindia.org I 13 Institutional Area, Lodhi Road, New Delhi 110003